PAPERBOY

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Microsoft and Alphabet reported the same AI demand on the same night and got opposite verdicts — and Alphabet's free cash flow went negative.

AI

Microsoft's Azure grows 48% and its order book swells to $677bn

WHAT HAPPENED

Microsoft's fiscal first quarter, ended 30 September, brought revenue of $92,279m, up 19%, and Microsoft Cloud of $63.9bn, up 30%. Azure grew 48%. The figure that matters most is the order book: commercial remaining performance obligation — contracted revenue not yet recognised — reached $677bn, up 73%. Cash additions to property and equipment were $39,367m against $19,394m a year earlier. The segments were recast into two, Agents and Infra ($76,795m, up 25%) and Devices and Consumer ($15,484m, down 3%). CFO Amy Hood guided December-quarter Azure growth to 49–50% in constant currency, capex above $50bn, and spending of about $170bn "for the calendar year". Shares rose about 4% after hours.

WHAT IT MEANS

A 73% jump in contracted-but-unbilled revenue is the strongest evidence yet that AI demand is being signed rather than forecast. It also locks Microsoft into the spending: you cannot book $677bn of obligations and then slow the build.

WATCH NEXT

The 10-Q, for the RPO detail the release does not give, and the December capex print against that $50bn guide.

Alphabet's cloud revenue doubles — and its free cash flow goes negative

WHAT HAPPENED

Revenue was $127,577m, up 25%, and Google Cloud $30,709m, up 103%, with cloud operating income of $11,121m against $3,594m a year earlier. Pichai: "We had a strong quarter and are now on a half-trillion dollar revenue run rate." But capex was $51,355m, more than double a year earlier, and free cash flow came in at minus $9,065m. Diluted EPS fell to $2.12 from $2.87, on a swing in other income and expense to minus $8,221m from plus $12,759m, which CFO Anat Ashkenazi attributed primarily to an unrealised loss on Alphabet's SpaceX stake. The 2026 capex guide is unchanged at $195–205bn, with a significant rise still expected in 2027. Ashkenazi put the cloud backlog at $561bn and said Alphabet began renting third-party compute at the end of the quarter. Shares fell about 9% after hours.

WHAT IT MEANS

Same night, same demand, opposite verdict. Microsoft's capex landed below expectations; Alphabet's pushed cash flow below zero at a company that has printed money for two decades. Renting someone else's compute is the tell — Google cannot build fast enough even for itself.

WATCH NEXT

The Q4 call, where Alphabet has promised a 2027 capex number. Amazon reports after the close tonight.

Google starts selling the chips, and OpenAI is reportedly buying

WHAT HAPPENED

One sentence in Alphabet's release reframes the cloud business: "Google Cloud generates product revenues primarily from the sale of TPU systems." Google is now a merchant chip vendor, not only a renter of its own silicon. Cloud chief Thomas Kurian said nearly 100 customers use TPUs today. Separately, The Information reported on 27 October, citing one person familiar with the matter, that OpenAI plans to buy Google's chips outright rather than rent them. OpenAI declined to comment and Google did not respond. Oracle has said TPUs will reach its own cloud next year. The report rests on one outlet and one anonymous source; neither company has confirmed it.

WHAT IT MEANS

Nvidia's moat has been that no rival accelerator is worth the porting cost. A TPU sold into Oracle's cloud and, if this holds, into OpenAI's fleet is the first credible second source at scale.

WATCH NEXT

Whether either company confirms. Nvidia reports in late November.

SEMICONDUCTORS

Samsung books a KRW 107tn quarter and says 2027 demand will outrun supply

WHAT HAPPENED

Samsung Electronics reported third-quarter revenue of KRW 195.3tn and operating profit of KRW 107.4tn, and said it had become the first technology company past KRW 100tn of quarterly operating profit — that record claim is Samsung's own, and it is a won-denominated threshold, so handle it as the company's framing rather than a like-for-like global first. Device Solutions, the chip division, produced KRW 106.5tn of it on KRW 147.1tn of revenue, a roughly 72% operating margin against SK hynix's 80% last week. Samsung said it "significantly scaled up sales of HBM4" and credited foundry improvement to HBM base-die sales growth. Capex was KRW 29.0tn in the quarter and is expected at about KRW 84.4tn for 2026. On next year: "increasing AI-driven demand will far exceed the industry supply in comparison with 2026." No dollar figures appear anywhere in the release.

WHAT IT MEANS

Two memory makers now earning 72 to 80% operating margins is not a cycle, it is a shortage being rationed. Pricing power sits entirely upstream, and Samsung has just put its name to the view that it gets worse next year.

WATCH NEXT

HBM4 qualification at Nvidia, and the Taylor, Texas fab, which Samsung says begins operations in 2027.

STMicro guides up while the automotive chipmakers guide down

WHAT HAPPENED

STMicroelectronics reported third-quarter revenue of $3,757m, up 17.9% year on year and 7.7% sequentially, with a 37.3% gross margin and diluted EPS of $0.31, and guided the December quarter to $4.15bn at the midpoint on a 39.0% gross margin. CEO Jean-Marc Chery: "In an environment where demand remains well above supply, we continue to expand capacity aligned with ST's strategic roadmap." Net capex rose to $643m from $409m in the prior quarter. The contrast with the previous session is sharp: on 28 October ON Semiconductor fell about 5% and NXP about 3% after soft fourth-quarter guidance overshadowed a third-quarter beat.

WHAT IT MEANS

The shortage is not general. Anything attached to AI infrastructure is sold out; anything pointed at cars and factory automation is still working off soft end demand. ST straddles both and is being pulled up by the first half.

WATCH NEXT

Intel reports today. Texas Instruments and Infineon are the next clean read on industrial and automotive.

BUSINESS

The Fed holds — and two governors vote to raise

WHAT HAPPENED

The FOMC left the target range at 3.75–4.00% on 28 October, six days before the midterms, on a 10–2 vote. Both dissents were hawkish: Lisa Cook and Beth Hammack each "preferred to raise the target range for the federal funds rate by 1/4 percentage point at this meeting". It is Cook's first dissent since she joined the board in 2022. The statement says flatly that "Inflation remains elevated", describes activity expanding at a strong pace, and repeats, as it did in September, that the Committee "will deliver price stability". Chair Kevin Warsh told the press conference "It's our responsibility to get inflation down" and, on financial conditions, "While overall financial conditions are tighter, I'm unwilling and unable to call them tight." He said politics played no part in the decision.

WHAT IT MEANS

Keep the direction of travel in view: September was a quarter-point hike, not a cut. A hold with two votes for more, from a chair who will not concede that conditions are tight, is a committee leaning toward another increase rather than away from one.

WATCH NEXT

The Bank of Japan decides tomorrow, 30 October, with its rate at 1.25% and a hold expected. The Fed's 8–9 December meeting carries the next projections.

Stocks shrug, the long end does not

WHAT HAPPENED

Equities took the hold calmly and closed higher for a third session: the Nasdaq Composite at 26,549.85, up 0.27%, the S&P 500 at 7,743.98, up 0.28%, and the Dow at 52,475.10, up 0.19%. Treasuries did the reacting. On Treasury's own closing curve the two-year fell three basis points to 4.67% while the ten-year rose six to 5.05% and the thirty-year rose seven to 5.37% — a bear steepening. Single stocks moved far more than the indices: Vertiv rose about 17% on AI infrastructure demand forecasts, Oracle about 11% after an investor day, F5 fell more than 20%.

WHAT IT MEANS

A curve that steepens on a hawkish hold is not pricing a near-term hike. It is repricing how long rates stay high and charging more to hold duration.

WATCH NEXT

The thirty-year at 5.37%. If it keeps climbing while the two-year falls, the worry is something other than the next meeting.

Brent back above $115 as Shell hands back $5bn

WHAT HAPPENED

December Brent settled at $115.32, up 1.26%, and December WTI at $102.78, up 2.88%, reversing the previous day's fall. The drivers cited are reports that Washington may resume strikes on Iran after the midterms, below, and a Houthi missile claim against Saudi Arabia's Ras Tanura complex on 27 October — Riyadh confirmed interceptions and no damage, so a hit is unconfirmed. Shell reported adjusted earnings of $10,814m and operating cash flow of $21,043m this morning, with a $5bn buyback for the next three months. Net debt is $39.7bn, but roughly $8bn of that is non-cash and lease-related; excluding leases it is $5.6bn.

WHAT IT MEANS

Integrated oil is having a very different quarter from refining, which was routed on Monday. Shell's answer to $21bn of operating cash flow is to buy its own shares rather than build anything — which tells you what it thinks the oil price is worth planning around.

WATCH NEXT

Whether Riyadh reports damage at Ras Tanura, and 3 November, which is where the strike reporting points.

STARTUPS

Upwind raises $400m at $3.8bn, 2.5 times its January mark

WHAT HAPPENED

Upwind, a cloud security company, announced a $400m Series C at a $3.8bn valuation on 28 October, led by Bessemer Venture Partners with Canapi Ventures joining and existing backers including Cyberstarts, Greylock, Craft Ventures, Salesforce Ventures and TCV participating. Its January Series B valued it at $1.5bn, so the price has more than doubled in nine months. The company says it quadrupled revenue in 2026 but gives no absolute figure. Chief executive Amiram Shachar framed the round around AI changing "both the cloud infrastructure architecture and the scale of cyber threats".

WHAT IT MEANS

A 2.5 times step-up in nine months with no revenue disclosed is the shape of this market: security companies that can credibly attach themselves to AI workloads are being priced on narrative velocity rather than multiples.

WATCH NEXT

Whether the next large cloud-security round prices up or flat.

Foundry Robotics takes $100m for autonomous factories

WHAT HAPPENED

Foundry Robotics announced an oversubscribed $100m Series A led by Marlinspike Partners, with Khosla Ventures, SE Ventures, Wing VC and others participating. The company builds AI-enabled autonomous factories for complex assembly and sells manufacturing as a service to defence and commercial customers, out of a 130,000 square foot site in Emeryville, California. The valuation was not disclosed.

WHAT IT MEANS

A $100m Series A for a company that has to pour concrete is a bet that defence procurement will pay for capacity rather than units. The defence channel is what makes a cheque that size defensible at this stage.

WATCH NEXT

Whether Foundry names a customer.

US

Judge refuses to let the Justice Department pull 20,000 California ballots

WHAT HAPPENED

Judge David O. Carter denied the Justice Department's application for a temporary restraining order on 28 October, rejecting its bid to make California segregate and exclude more than 20,000 ballots from voters it alleges may be noncitizens. He found the government likely lacks standing and a cause of action for the civil relief it sought, wrote that the relief "would wreak havoc and disrupt the election that is already underway, create a chilling effect on election workers and voters alike", and added: "This Court declines to be a party to such process." On the department's warnings to election workers: "The court reiterates what it said yesterday: these threats must stop." The case, filed 15 October against the state, Secretary of State Shirley Weber and the Los Angeles County registrar, continues. This is a denial of emergency relief, not a merits ruling, and the department may still prosecute individuals.

WHAT IT MEANS

The reasoning travels further than the result. Carter found the government's urgency was "solely due to its own neglect", and that federal criminal law on noncitizen voting does not let the department override a state's ballot-processing rules. That is a limit on the theory, not just on this filing.

WATCH NEXT

Attorney General Todd Blanche has threatened similar suits elsewhere; the department has demanded voter data from 23 states and the District of Columbia. California's certification deadline is reported as both 3 and 11 December.

Washington tells allies to prepare for strikes on Iran after the midterms

WHAT HAPPENED

The United States has told several Middle Eastern countries to prepare for possible renewed military action against Iran after the 3 November elections, and for Iranian retaliation against them, two diplomats briefed on the warnings told the Associated Press. Allies were told a new round could last several days and urged to protect energy facilities and other critical infrastructure. No order has been issued and officials stressed that President Trump has not made a final decision; the White House declined to comment. The United States has not struck Iran since early September; the war began in late February. The Pentagon has moved the carrier Theodore Roosevelt and amphibious ships with Marines, roughly 9,000 troops in all, to the Gulf, and has given Congress a cost estimate of $47.1bn. Asked in Lubbock, Texas on Tuesday when the war would end, Trump said: "I said, 'Whenever I want it to end.'"

WHAT IT MEANS

This is anonymously sourced and explicitly conditional, and it is still the clearest signal in two months that the September pause is tactical rather than terminal. The part allies were told plainly is the timing: after the vote, not before.

WATCH NEXT

3 November. Iran's foreign minister, Abbas Araghchi, posted that Tehran "continues to give diplomacy a chance to succeed" while working with intermediaries on a seven-day plan. A separate claim that strikes would come within 96 hours still traces to one outlet and remains unsupported.

WORLD POLITICS

At least 68 dead as a high-speed train runs into a stationary one near Toledo

WHAT HAPPENED

A Renfe AVE service from Madrid to Seville struck the rear of a stationary Iryo train early on 28 October near Urda, in Toledo province. At least 68 people were killed; the injury count is contested, between 58 reported receiving hospital treatment and 77 hospitalised. The regional government put 397 passengers on the Renfe train and 147 on the Iryo. Transport Minister Óscar Puente said a safety system failed across a 63km stretch at 08:30 after a computer malfunction, halting trains, and that central command then told the Renfe service to restart with no speed restriction despite an active stop signal. Impact came at 08:53. Prime Minister Pedro Sánchez, at the site: "Today all of Spain is grieving." Three days of national mourning run to 31 October.

WHAT IT MEANS

If the sequence Puente described holds, this was not a signal a driver missed but an instruction given over one — a dispatch failure, not an error at the controls. Spain lost 46 people on the same Madrid–Seville line near Adamuz in January.

WATCH NEXT

The Civil Guard investigation, and whether ADIF's suspension of Madrid to Andalusia high-speed services is extended.

The Oleshky truce holds, and Zelensky points at Abu Dhabi

WHAT HAPPENED

The local ceasefire around Oleshky, in Kherson Oblast, held into a second day on 28 October. It is meant to allow aid deliveries, demining and evacuations, though none is confirmed to have happened, and Kyiv Independent now says only that it is expected to last into early November, dropping its earlier 1 November end date. President Zelensky said he hopes trilateral talks with Russia and the United States happen in Abu Dhabi "between Nov. 6 and 10", with American confirmation expected around 4 November: "We are waiting for the American side." The Kremlin has confirmed no timeline and still demands Donbas. Separately, Chancellor of the Exchequer John Healey's Budget on 28 October committed more than £10bn of Ukraine support for 2027, mostly loans and export guarantees, taking Britain's total commitment to £35bn. Zelensky called it "a truly strong and very timely step".

WHAT IT MEANS

Everything is staged around the American midterms. A truce running to "early November", talks pencilled for the 6th to the 10th, confirmation expected on the 4th: Kyiv is waiting on an administration that is deciding nothing until after the vote.

WATCH NEXT

4 November, for US confirmation of the Abu Dhabi meeting.

China's plenum closes without a communiqué

WHAT HAPPENED

The Fifth Plenary Session of the 20th CPC Central Committee was due to close in Beijing on 29 October, and as of this morning no communiqué had appeared from Xinhua or the State Council. The stated agenda is "some major issues concerning strengthening full and rigorous Party self-governance with perseverance", with Xi Jinping delivering the work report on the draft decision on behalf of the Political Bureau. Communiqués customarily land on the closing evening, Beijing time. Note that the five-year plan recommendation and the military purges widely attached to "the plenum" belong to the fourth plenary session, of October 2025.

WHAT IT MEANS

A plenum given over to party discipline rather than economic planning is itself the message. What the communiqué names, and whom, is the only thing that will show how far the campaign has reached.

WATCH NEXT

The communiqué, expected this evening Beijing time.

SOURCES

Microsoft — FY27 Q1 earnings release

Alphabet — Q3 2026 earnings release (PDF)

Samsung Electronics — Q3 2026 results

STMicroelectronics — Q3 2026 results

Federal Reserve — FOMC statement, 28 October 2026

Federal Reserve — implementation note

US Treasury — daily par yield curve, October 2026

Shell — Q3 2026 results

Upwind — Series C announcement

Democracy Docket — Carter denies DOJ ballot demand

Carter order, Dkt. 149 (PDF)

AP — US warns allies to prepare for possible Iran strikes

CBS/AP — Spain train collision

Kyiv Independent — Oleshky ceasefire holds

Xinhua — raising the bar for CPC self-governance

Taipei Times — OpenAI reportedly to buy Google chips